



Independent Auditor's Report

To
The Board of Directors
Forge Auto International Limited

Report on the Financial Statements

Opinion

We have audited the Financial statements of Forge Auto International Limited ("the company") which comprise the Balance Sheet as at 31st March 2024, the Statement of Profit and Loss & The cash flow statement for the period ended 31st March 2024 including a summary of significant accounting policies and other explanatory information.

In our opinion, and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Act in the manner so required give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March 2024 and its Profit and it's cash flows for the period from 25.04.2023. to 31.03.2024.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of Financial Statements section of our report. We are independent of the Company in accordance with the code of ethics issued by the Institute of Chartered Accountants of India together with ethical requirements that are relevant to our audit of the financial statements under the provisions of Companies Act, 2013 and the rules there under, we have fulfilled our other ethical responsibilities in accordance with these requirements and the code of ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter

Attention is invited to Note 8 to the financial statements with reference to disclosures regarding interest payment under the MSMED Act, 2006, as explained to us the company deals with various micro and small enterprises on mutually accepted terms and conditions. Accordingly, no interest is payable if the terms are adhered to by the company. Further as per information made available to us no interest has been paid under MSMED Act 2006 to any supplier for payment made beyond appointed date. Neither any claim has been received from any such supplier. Further no such provision has been made for any interest payable to such supplier.

Further, TDS Recoverable amounting to Rs. 230777.82/- is of M/s Auto International (erstwhile Partnership firm) standing in the 26AS as on 24.04.2023. The same will be adjusted in the books after the Income Tax Assessment of the FY 2023-24.

Our opinion is not modified in respect of these matters.

Information Other than the Financial Statements and Auditor's Report Thereon.

The Company's board of directors are responsible for the other information. The other information comprises the information included board's report including annexures to Board's report and other information included in Company's Annual Report but does not include the standalone financial statements and our Auditor's reports thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or



our knowledge obtained during the course of our audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report the fact. We have nothing to report in this regard.

Management's Responsibilities for the Financial Statements

The Company's Board of Directors are responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these financial statements that give a true and fair view of the financial position financial performance and Cash Flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Companies Act, 2013 read with rule 7 of the Companies (Account) Rules, 2014. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The board of directors are also responsible for overseeing the company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial Statements.

As part of an audit in accordance with SA's, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial control system in place and the operating effectiveness of such controls. However, the audit report being limited in scope and only a report to the board of directors for specific period financial statements (25.04.2023 to 31.03.2024), we are not specifically and separately expressing an opinion on the same in this report.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our audit report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our audit report. However, future events or conditions may cause the company to cease to continue as going concern



- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

1. The audit report is limited in scope and as such only a report to the board of directors on the limited purpose - specific period - financial statements (25.04.2013 to 31.03.2024), we are not enclosing separately a statement on the matters specified in paragraph 3 and 4 of the said Companies (Auditors Report) Order, 2020 ("the order") issued by the central government in terms of section 143(11) of companies Act, 2013, Order, to the extent applicable.
2. As required by Section 143(3) of the Act, we report that:
 - a. We have sought and obtained all the information and explanations, which, to the best of our knowledge and belief were necessary for the purposes of the audit;
 - b. In our opinion, proper books of accounts as required by the law have been kept by the company, so far as appears from our examination of said books;
 - c. The balance sheet, statement of profit and loss and cash flow statement dealt with by this report are in agreement with books of accounts of the company;
 - d. In our opinion the forced financial statements comply with the accounting standards specified under section 133 of the act read with rule 7 of the Companies (Accounts) Rules, 2014;
 - e. On the basis of written representations received from the directors and taken on record by the board of directors, we report that none of the directors is disqualified as on 31.03.2024 from being appointed as a director of the company in terms of section 164(2) of the act;
 - f. The audit report is limited in scope and as such only a report to the board of directors on the limited purpose – specific period - Financial statements (25.04.2023 to 31.03.2024), we are not specifically and separately expressing an opinion on the adequacy of the internal financial controls over financial reporting and the operating effectiveness of such controls as prescribed under section 143 (3) of the Act;
 - g. With respect to the other matters to be included in our report in accordance with the Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanation given to us:
 - (i) Company has disclosed the impact of pending litigations on its financial position notes to the financial statements;
 - (ii) There are no long term contracts for which provision is required;
 - (iii) No amount is required to be transferred to the Investor Protection Fund;
 - (iv) (a) Management has represented that, to the best of its knowledge and belief, no funds (which are material either individually or in aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources all kinds of funds) by the company to or in any other person or entity including foreign entity ("Intermediaries") with the understanding, whether recorded in writing or otherwise, that the intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("Ultimate Intermediaries") or provide any guarantee, security or the like on behalf of ultimate beneficiaries;
 - (b) The management has represented that to the best of his knowledge and belief no funds (which are material either individually or in aggregate) have been received by the company from any person or entity including foreign entity ("Funding Parties") with the understanding, whether recorded in writing or otherwise, that the Company shall whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Intermediaries") or provide any guarantee, security or the like on behalf of ultimate beneficiaries;
 - (c) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances nothing has come to a notice that has caused us to believe that the requirements under



sub clause (i) and (ii) of rule 11(e) as provided under (a) and (b) above, contain any material misstatement.

- (v) The Company has not declared or paid any dividend during the year.
- (vi) Proviso to rule 3(1) of the Companies (Accounts) Rules, 2014 for maintaining books of accounts using accounting software which has a feature of recording audit trail (edit log) facility is applicable with effect from April 25th, 2023 to the company. However, this report being limited in scope and as such only a report to the board of directors for the limited purpose - specific period - financial statements (25.04.2023 to 31.03.2024) reporting under rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 has not been considered.

3. With respect to the matters to be included in the Auditor's Report under section 197(16), in our opinion, the remuneration paid by company to its directors is in accordance with the provisions of section 197 of the Companies Act 2013 read with schedule V.

For Jasminder Singh & Associates
Chartered Accountants
FRN: 016192



CA. Ashish Jindal
Partner
M. No.: 559899
UDIN: 24559899BKAUEG2522
Place: Ludhiana
Date: 02.09.2024

FORGE AUTO INTERNATIONAL LIMITED

CIN: U25910PB2023PLC058272

Registered office :-Village Mangarh, Kohara-Machhiwara Road, Ludhiana, Punjab, India, 141001

Annexure - I

STANDALONE STATEMENT OF ASSETS AND LIABILITIES

Particulars		Note No.	(Amount in Rs. Lakhs) As at 31st March, 2024
I	EQUITY AND LIABILITIES		
1	Share holder's Funds		
	(a) Share capital	3	804.00
	(b) Reserves & surplus	4	1,254.40
2	Non-current liabilities		
	(a) Long-term borrowings	5	1,435.86
	(b) Deferred tax liabilities (net)	6	19.60
	(c) Other Long-term liabilities	7	363.40
	(d) Long-term provisions	8	76.86
3	Current liabilities		
	(a) Short-term borrowings	9	2,166.46
	(b) Trade payables	10	
	(i) Total outstanding dues of micro enterprises and small enterprises		368.98
	(ii) Total outstanding dues of creditors other than micro enterprises and small enterprises		2,509.66
	(c) Other current liabilities	11	259.00
	(d) Short-term provisions	8	235.96
	TOTAL		9,494.17
II	ASSETS		
1	Non-current assets		
	(a) Property Plant and Equipment and Intangible assets		
	(i) Property, Plant and Equipment	12	2,435.77
	(ii) Intangible assets	12	10.65
	(iii) Capital work in progress		27.47
	(iv) Intangible assets under developments		
	(b) Non-current investments	13	183.50
	(c) Deferred tax assets (net)		-
	(d) Long-term loans and advances	14	521.21
	(e) Other non-current assets	15	82.67
2	Current assets		
	(a) Current investments		-
	(b) Inventories	16	3,554.02
	(c) Trade receivables	17	2,380.58
	(d) Cash and cash equivalents	18	52.39
	(e) Short-term loans and advances	19	231.89
	(f) Other current assets	20	14.02
	TOTAL		9,494.17

The above statement should be read with the statement of Profit and Loss, Cash Flow Statement and significant accounting policies and notes on account for preparation of Financial Statements as appearing in Annexure-II,III and IV respectively.

As per our report of even date

For Jasminder Singh & Associates
Chartered Accountants
FRN: 016192N

CA. Ashish Jindal
Partner
Mem No: 559899

Place: Ludhiana
Date: 02.09.2024
UDIN: 24559899BKAEUG2522

For and on behalf of Board of Directors
For Forge Auto International Limited

Rajan Mittal
(Managing Director)

Gurpreet Kanchan
(CFO)

Parmod Gupta
(Chairman and Whole time Director)

Medhavi Sharma
(Company Secretary)

FORGE AUTO INTERNATIONAL LIMITED

CIN: U25910PB2023PLC058272

Registered office :-Village Mangarh, Kohara-Machhiwara Road, Ludhiana, Punjab, India, 141001

Annexure - II

STANDALONE STATEMENT OF PROFIT & LOSS

		(Amount in Rs. Lakhs)	
	Particulars	Note No.	For the period ended 31st March, 2024
I	Revenue from operations	21	16,941.88
II	Other income	22	142.20
III	TOTAL INCOME (I + II)		17,084.08
IV	EXPENSES		
	(a) Cost of materials consumed	23	10,688.71
	(b) Purchases of stock in trade		-
	(c) Changes in inventories of finished goods,	24	(822.20)
	(d) Changes in work-in-progress and stock-in-trade	25	(274.94)
	(e) Employee benefits expenses	26	1,124.69
	(f) Depreciation and amortisation expenses	27	194.55
	(g) Finance costs	28	390.41
	(h) Other expenses	29	4,887.33
	TOTAL EXPENSES		16,188.55
V	Profit before exceptional and extraordinary items and tax (III-IV)		895.53
VI	Exceptional items		-
VII	Profit before extraordinary items and tax (V- VI)		895.53
VIII	Extraordinary items		-
IX	Profit before tax (VII-VIII)		895.53
X	Tax Expense:		
	(a) Current tax expense		229.54
	(b) Deferred tax	6	19.60
XI	Profit / (Loss) for the period (IX-X)		646.40
XII	Earning per equity share:		
	(1) Basic		24.95
	(2) Diluted		24.95

The above statement should be read with the statement of assets and liabilities, Cash Flow Statement and significant accounting policies and notes on account for preparation of Financial Statements as appearing in Annexure-I, III and IV respectively.

As per our report of even date

For Jasminder Singh & Associates
Chartered Accountants
FRN: 016192N

CA. Ashish Jindal

Partner
Mem No: 559899

Place: Ludhiana
Date: 02.09.2024
UDIN: 24559899BKAUEG2522

For and on behalf of Board of Directors
For Forge Auto International Limited

Rajan Mittal
(Managing Director)

Geetam Kanchan
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P.K. Gupta
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(Chairman and Whole time Director)

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FORGE AUTO INTERNATIONAL LIMITED

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Registered office :- Village Mangarh, Kohara-Machhiwara Road, Ludhiana, Punjab, India, 141001

Annexure - III

Cash Flow Statement

(Amount in Rs. Lakhs)

Particulars	For the period/Year ended
	31st March, 2024

A.

Cash flow from Operating Activities

Net Profit Before tax	895.53
Adjustments for :	
Depreciation & Amortisation Exp.	194.55
Profit On Sale Of Fixed Assets	(53.41)
Loss On Sale Of Fixed Assets	13.19
Rental Income	(0.56)
Interest Income	(8.19)
Finance Cost	390.41
Operating Profit before working capital changes	1,431.52
Changes in Working Capital	
Trade receivable	789.96
Other Loans and advances	(11.58)
Other Current Assets	11.63
Inventories	(1,233.36)
Trade Payables	(71.92)
Other Current Liabilities	(74.09)
Short term Provisions	6.42
Increase/(Decrease) in Short Term Borrowings	27.14
Net Cash Flow from Operation	875.71
Less : Income Tax paid	151.78
Net Cash Flow from Operating Activities (A)	723.93

B.

Cash flow from investing Activities

Purchase of Fixed Assets	(482.75)
Sale of Fixed Assets	97.32
Purchase of Investment	(698.42)
Interest Income	8.19
Rental Income	0.56
Net Cash Flow from Investing Activities (B)	(1,075.09)

C.

Cash Flow From Financing Activities

Increase/(Decrease) in Long Term Borrowings	465.81
Premium on Issue of Shares	(353.98)
Financial Cost	(390.41)
Change in Capital	604.00
Long Term Provisions	76.86
Net Cash Flow from Financing Activities (C)	402.28

D.

Net (Decrease)/ Increase in Cash & Cash Equivalents (A+B+C)

51.12

E.

Cash and cash equivalents at the beginning of the period/year

1.28

F.

Cash and cash equivalents at the end of the period/year

52.39

Notes:-

G.

1. Cash And Cash Equivalents Comprise :

Cash	1.43
Bank Balance :	
Current Account	33.44
Deposit Account	17.52
	52.39

2. Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of a non-cash nature and any deferrals or accruals of past or future cash receipts or payments. The cash flows from regular revenue generating, financing and investing activities of the company are segregated.

The above statement should be read with the statement of assets and liabilities, Cash Flow Statement and significant accounting policies and notes on account for preparation of Financial Statements as appearing in Annexure-I, II and IV respectively.

As per our report of even date

For Jasvinder Singh & Associates
Chartered Accountants
FRN: 016192N

CA. Ashish Jindal
Partner
Mem No: 559899

Place: Ludhiana
Date: 02.09.2024
UDIN: 24559899BKAUEG2522

For and on behalf of Board of Directors
For Forge Auto International Limited

Rajan Mittal
(Managing Director) (Chairman and Whole time Director)

Gautam Kanchan
(CFO)

Parmod Gupta
(Company Secretary)

ANNEXURE-IV
FORGE AUTO INTERNATIONAL LIMITED
SIGNIFICANT ACCOUNTING POLICIES & NOTES ON ACCOUNTS

The Company was originally formed as a Partnership firm in the name and style of "Auto International" under the provisions of the Partnership Act, 1932 on **April 16th, 2001** with Partnership Deed. Consequently, it was converted into Private Limited Company on a going concern basis under Part -1 of Chapter XXI of the Companies Act, 2013 under the same and style of 'Forge Auto International Private Limited' on April 25th, 2023. Subsequently, the Company was converted into a Public limited company under the Companies Act with the name 'Forge Auto International Limited' pursuant to a fresh certificate of incorporation dated June 01st, 2024 issued by the Registrar of Companies, Central Processing Centre bearing CIN: U25910PB2023PLC058272. The company is in the business of manufacturing customized closed die hot forging in carbon and alloy steel ranging from 1 Kg to 20 Kg and Aluminum forging of any grade ranging from 500 Gms to 6 kg.

1 SIGNIFICANT ACCOUNTING POLICIES:

Basis of preparation of financial statements

The Statement of Assets and Liabilities of the Company as on March 31, 2024 and the Statement of Profit and Loss and Statements of Cash Flows for the period ended on March 31, 2024 and the annexure thereto (collectively, the "Financial Statements") have been prepared by the management.

The financial statements of the company have been prepared and presented in accordance with the Generally Accepted Accounting Principles (GAAP). GAAP comprises the Accounting Standards notified u/s S.133 read with S.469 of the Companies Act, 2013. The accounting policies have been framed, keeping in view the fundamental accounting assumptions of Going Concern, Consistency and Accrual, as also basic considerations of Prudence, Substance over form, and Materiality. These have been applied consistently, except where a newly issued accounting standard is initially adopted or a revision in the existing accounting standards require a revision in the accounting policy so far in use. The need for such a revision is evaluated on an ongoing basis.

The Financial Statements have been prepared on a going concern basis, in as much as the management neither intends to liquidate the company nor to cease operations. Accordingly, assets, liabilities, income and expenses are recorded on a Going Concern basis. Based on the nature of products and services, and the time between the acquisition of assets and realization in cash or cash equivalents, the company has ascertained its operating cycle as 12 months for the purposes of current and non-current classification of assets and liabilities.

Change in Accounting Policy

The preparation of financial statements require estimates and assumptions to be made that affect the reported balances of assets as on the date of the financial statements and the reported amount of revenues and expenses during the reporting period. Accounting estimates could change from period to period. Actual results could differ from these estimates. Appropriate changes in estimates are made as and when the Management becomes aware of the changes in the circumstances surrounding the estimates. Changes in estimates are reflected in the financial statements in the period in which the changes are made and if material, their effects are disclosed in the notes to the financial statements.

The following significant accounting policies are adopted in the preparation and presentation of these financial statements:

1 REVENUE RECOGNITION

Revenue is recognized on transfer of property in goods or on transfer of significant risks and rewards of ownership to the buyer, for a consideration, without the seller retaining any effective control over the goods

Sales are accounted on dispatch of goods (which generally coincides with the transfer of ownership) and are exclusive of GST.

Other items of income including Interest, Discount etc. are accounted on accrual basis (depending on certainty of realization) and disclosed under the head "Other Income".

2 PROPERTY, PLANT & EQUIPMENTS.

Property, Plants and Equipment's are stated at their cost of acquisition or revalued amount (from the period when revaluation was done) less accumulated depreciation. The cost of acquisition includes freight, installation cost, duties, taxes and other incidental expenses, identifiable with the asset, incurred during the installation / construction stage in order to bring the assets to their working condition for intended use, including borrowing costs capitalized, if any, but are net of Input Tax Credits (CENVAT, GST ITC and VAT) availed for the relevant element in the Cost.

3 DEPRECIATION

Depreciation on assets is being provided on the Straight Line Method on the basis of useful lives specified in Part C of Schedule II to the Companies Act, 2013. Normal Depreciation

is normally debited to the Statement of Profit and Loss whereas the Depreciation on Revaluation Portion is adjusted against the respective Revaluation Reserve.

In case of those assets which were fully depreciated following the provisions of the Companies Act, 2013 and where such assets are in usable condition, the residual values of the said respective assets are considered at the maximum rate of 5%.

The details of useful life of an asset and its residual value estimated by the management are as follows:-

Type of Asset**	Useful Life as per management's estimate
Factory Building	30
Plant & Machinery*	10-15
Electric Fittings	10
Vehicles*	8-10
Office Equipments	5
Furniture & Fixtures	10
Server	6
Computers & Software	3

*Company is having different class of assets which is having different useful lives.

**In none of the asset the residual value of an asset is more than five per cent of the original cost of the asset

4 INVENTORY

Inventories are valued at cost of net realizable price which ever is lower. The cost formula used for valuation of Inventoreis are below:-

Raw Materials & Store & Spares have been valued 'at Cost' on FIFO basis.

Semi-Finished goods have been valued at Raw Material cost increased by a proportion of overheads in consonance with the stage of completion as certified by the management.

Finished products are valued at lower of cost or net realizable value.

Stock of Scrap is value at its net realizable value.



- 5 EMPLOYEE BENEFITS**
Employee Benefits comprise short term as well as long term defined benefit as well as defined contribution plans. Contributions to Provident Fund and Employee State Insurance are defined contributions. The Company's Contributions are charged to the Statement of Profit and Loss of the year when the contributions to the respective funds are due. There are no further obligations beyond the periodic contributions. Retirement Benefits in form are Gratuity are defined benefit obligations and are provided for on the basis of actuarial valuation using projected unit credit method as at the balance sheet date. Actuarial gain / losses are immediately taken to the Statement of Profit and Loss and are not deferred. Leave Encashment, though a defined benefit obligation, falls under short-term compensated absences in terms of the policy of the Company and is provided for based on the leave standing to the credit of the employees as at the end of the year.
- 6 FOREIGN EXCHANGE TRANSACTIONS**
Transactions in foreign currency, to the extent not covered by forwards contracts, are recorded in Indian Rupees at the exchange rate prevailing on the date of the transactions. Exchange gains or losses on settlement, if any, are treated as income or expenditure respectively in the Statement of Profit and Loss. Liabilities in foreign currency as well as receivables in foreign currency as on the date of the Balance Sheet have been restated into Indian rupees at the rates of exchange prevailing as on the date of Balance Sheet.
- 7 IMPAIRMENT**
The Management periodically assesses, using external and internal sources, whether there is an indication that an asset may be impaired. An impairment loss is recognized wherever the carrying value of an asset exceeds its recoverable amount. The recoverable amount is higher of the asset's net selling price and value in use, which means the present value of future cash flows expected to arise from the continuing use of the asset and its eventual disposal. An impairment loss for an asset is reversed if, and only if, the reversal can be related objectively to an event occurring after the impairment loss was recognized. The carrying amount of an asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of any accumulated amortization or depreciation) had no impairment loss been recognized for the asset in prior years.
- 8 LEASE ACCOUNTING**
Leases are classified as operating leases where the lesser effectively retains substantially all the risks and benefits of the ownership of the leased assets. Operating lease payments are recognized as an expense in the Statement of Profit and Loss on accrual basis.
- 9 BORROWING COSTS**
According to AS-16, the borrowing costs directly attributable to the acquisition of qualifying assets are to be capitalized for the period until the asset is ready for its intended use. A qualifying asset being, an asset that necessarily takes a substantial period of time to get ready for its intended use. Other borrowing costs are to be recognized as an expense in the period in which they are incurred.
- 10 TAXES ON INCOME**
Provision for taxation for the year under report includes provision for current tax as well as deferred tax. Provision for Current tax is made, based on tax estimated to be payable as computed under the various provisions of the Income Tax Act, 1961. Deferred tax is recognized, subject to prudence, on timing differences between taxable income and accounting income that originate during the year and are capable of being reversed in one or more subsequent periods. Deferred tax assets are recognized only to the extent that there is a reasonable certainty that future taxable income will be available against which such deferred tax assets can be realized. Deferred Tax Liabilities / Assets are quantified using the tax rates and tax laws enacted or substantively enacted as on the balance sheet date.
- 11 PROVISIONS AND CONTINGENT LIABILITIES**
Provisions requiring a substantial degree of estimation in measurement are recognized, if in the opinion of the Management, there is a probability that a present obligation as a result of past events will result in an outflow for the Company in the future. Contingencies, the outcome of which is not certain, have been disclosed in these notes as Contingent Liabilities. Contingent Assets are neither recognized nor disclosed in the financial statements.
- 12 IMPAIRMENT OF ASSETS**
Assessment of Impairment of Assets (as covered under AS-28 Impairment of Assets) is done as at the Balance Sheet Date considering external and internal impairment indicators. If there is an indication that an asset may be impaired, its recoverable amount is estimated and the impairment loss duly provided for.
- 13 INVESTMENTS**
Investments, which are readily realizable and intended to be held for not more than one year from the date on which such investments are made, are classified as current investments. All other investments are classified as long-term investments. On initial recognition, all investments are measured at cost. The cost comprises purchase price and directly attributable acquisition charges such as brokerage, fees and duties. Current investments are carried in the financial statements at lower of cost and fair value determined on an individual investment basis. Long-term investments are carried at cost. However, provision for diminution in value is made to recognize a decline other than temporary in the value of the investments. On disposal of an investment, the difference between its carrying amount and net disposal proceeds is charged or credited to the statement of profit and loss.
- 14 USE OF ESTIMATES**
The preparation of financial statements required the management to make estimates and assumptions that affect the reported balance of assets and liabilities, revenues and expenses and disclosures relating to contingent liabilities. The Management believes that the estimates used in the preparation of financial statements are prudent and reasonable. Future results could differ from these estimates. Any revision of accounting estimates is recognized prospectively in the current and future periods.
- 15 CONTINGENT LIABILITIES AND PROVISIONS**
Provisions are recognized only when there is a present obligation as a result of past events and when a reliable estimate of the amount of obligation can be made. Contingent Liability is disclosed for
a) Possible obligation which will be confirmed only by future events not wholly within the control of the Company or
b) Present obligations arising from the past events where it is not probable that an outflow of resources will be required to settle the obligation or a reliable estimate of the amount of the obligation cannot be made.
c) Contingent Assets are not recognized in the financial statements since this may result in the recognition of income that may never be realized. A disclosure for a contingent liability is made when there is a possible obligation or a present obligation that may, but probably will not, require an outflow of resources. Where there is a possible obligation or a present obligation that the likelihood of outflow of resources is remote, no provision or disclosure is made.
- 16 EARNINGS PER SHARE:**
In determining the Earnings Per share, the company considers the net profit after tax which does not include any post tax effect of any extraordinary / exceptional item. The number of shares used in computing basic earnings per share is the weighted average number of shares outstanding as at 31 March, 2024.
- 17 DERIVATIVES**
The Company is exposed to foreign currency fluctuations on foreign currency assets and forecasted cash flows denominated in foreign currency. The Company tries to limit the effects of foreign exchange rate fluctuations by following risk management policies including use of derivatives. For this the Company enters into forward exchange contracts, where the counter-party is a Bank. These forward contracts are not used for trading or speculation purposes. In case of forward contracts the gain or loss arising on exercise of option or settlement or cancellation are recognized in the Statement of profit and loss for the period. The forwards contracts outstanding as at the balance sheet date, if any, are marked-to-market and corresponding exchange gain or loss recognized on the same.

In case of derivative transactions in currency futures, the net gain or loss is recognized in the Statement of Profit and Loss on settlement. In case of outstanding contracts as at the balance sheet date, the same are also marked-to-market and corresponding gain / loss recognized on the same.
- 18** Prior Period and Extra Ordinary items and Changes in Accounting Policies, having a material bearing on the financial affairs of the Company are disclosed separately.



The financial statements for the period ended on 31st March, 2024 respectively are prepared as per Schedule III of the Companies Act, 2013.

- 1 Related party transactions are already reported as per AS-18 of Companies (Accounting Standards) Rules, 2006, as amended, in Note 32 of the enclosed financial statements.

2 Auditors' Remuneration:

(Amount in Rs. Lakhs)	
Particulars	31/03/2024
a. As auditors	
Statutory audit fees*	1.50
Tax audit & other matters	-
Total	1.50

* All fees is exclusive of GST

3 Earnings Per Share :

(Amount in Rs. Lakhs except share data)	
Earnings per Share have been calculated as under:	
Particulars	31/03/2024
A. Number of Shares at the beginning of the year/period	0.00
Add : Issue of shares	2,000,000
Add : Others - Conversion of unsecured loan into equity share capital	2,020,000
Add : Issue of bonus shares	4,020,000
B. Total Number of equity shares outstanding at the end of the year/period	8,040,000
C. Weighted average number of equity shares outstanding during the year/period (Considering Bonus Issue)	2,590,526
D. Net profit after tax available for equity shareholders	646.40
E. Basic and Diluted earnings per share (Rs.) (D/C)	24.95

For details, please refer to Note 45 of enclosed financial statements

- 4 Figures have been rearranged and regrouped wherever practicable and considered necessary.

- 5 The management has confirmed that adequate provisions have been made for all the known and determined liabilities and the same is not in excess of the amounts reasonably required to be provided for.

- 6 The balances of trade payables, trade receivables, loans and advances are unsecured and considered as good are subject to confirmations of respective parties concerned.

7 Employee benefits:

The Company has adopted the Accounting Standard 15 (revised 2005) on Employee Benefits as per an actuarial valuation carried out by an independent actuary. The disclosures as envisaged under the standard are as under:

(a) Defined Benefit Plan (Gratuity)	
Particulars	31/03/2024
Change in Present Value of Defined Benefit Obligation	
Present Value of Obligations as at the beginning of the Year/Period	60.73
Interest Cost	4.40
Current Cost	23.58
Benefits Paid	-5.68
Actuarial (gains) / losses on obligation	0.26
Present Value of Obligations as at the end of the Year/Period	83.29
Change in Fair Value of Plan Assets	0.00
Fair Value of Plan Assets as at the beginning of the Year/Period	0.00
Prior Year's Adjustment	0.00
Expected Return on Plan Assets	0.00
Contributions	
Benefits Paid	-5.68
Actuarial (gains) / losses on Plan Assets	0.26
Fair Value of Plan Assets as at the end of the Year/Period	-5.42
Defined Benefit Obligation as recognized in Balance Sheet	
Present Value of Obligations as at the Year/Period end	83.29
Unrecognised Past Service Cost	0.00
Fair Value of Plan Assets as at the Year/Period end	0.00
Net (Asset) / Liability recognized in Balance Sheet	83.29
Net Gratuity Benefit Expenditure Recognised in P&L Account	28.24
Current Service Cost	23.58
Interest Cost	4.40
Expected Return on Plan Assets	0.00
Net Actuarial (Gain) / Loss Recognised in the Year/Period	0.26
Net Expense Recognised in Statement of Profit and Loss	28.24
Principal Assumptions Used	
Discount Rate	7.25%
Expected Return on Plan Assets	0.00%
Salary Escalation Rate	5.00%
Major Categories of Plan Assets	NA
Insurer Managed Funds	NA

(b) Defined Contribution Plans

The Company is registered with the Regional Provident Fund Commissioner for the Employees' Provident Fund Scheme. Contributions to Provident Fund are included under head Employee Benefit Expenses in the Statement of profit and loss.

Particulars	31/03/2024
Provident Fund	21.52



8 Realizations

In the opinion of the Board and to the best of its knowledge and belief, the value on realization of current assets and loans and advances are approximately of the same value as stated.

9 Contractual liabilities

All other contractual liabilities connected with business operations of the Company have been appropriately provided for.

10 Amounts in the financial statements

Amounts in the financial statements are rounded off to nearest lakhs. Figures in brackets indicate negative values.

11 Impact of Audit Qualifications/Observations in Statutory Auditor's Report on Financial Statements

There has been no audit qualifications/observations in Statutory Auditor's Report for the period ended on 31st March 2024, which requires adjustments in financial statements.

12(i) Material Adjustments

Appropriate adjustments have been made in the financial statements, whenever required, by reclassification of the corresponding items of assets, liabilities and cash flow statement, in order to ensure consistency and compliance with requirement of Schedule VI and Accounting Standards.

1. Adjustment relating to Prior Period Items

Amounts relating to the Prior Period expense have been adjusted in the Year to which the same is related to.

TDS Recoverable amounting to Rs. 230777.82/- is of M/s Auto International (erstwhile Partnership firm) standing in the 26AS as on 24.04.2023. The same will be adjusted in the books after the Income Tax Assessment of the FY 2023-24.

13 Material Regrouping in Financial Statements

Appropriate adjustments have been made in the Summary Statements, wherever required, by a reclassification of the corresponding items of income, expenses, assets, liabilities and cash flows in order to bring them in line with the groupings as per the audited financials of the Company prepared in accordance with Schedule III and the requirements of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations 2009 (as amended). However no material regroupings carried out in financial statements.



SHARE CAPITAL

(Amount in Rs. Lakhs except share data)

Particulars	As at 31st March, 2024	
	Number of shares	Rs.
Authorised share capital No of Equity shares of Rs.10 each	1,10,00,000	1,100.00
Issued, Subscribed and Paid up share capital Equity shares of Rs.10 each with voting rights	80,40,000	804.00
Partner's Capital account (Fixed)		
Total	80,40,000	804.00

1. Terms/rights attached to equity shares:

- The company has only one class of shares referred to as equity shares having a par value of Rs. 10/- as at 31st March, 2024.
- Each holder of equity shares is entitled to one vote per share. All shares rank pari passu with reference to all rights relating thereto.
- In the event of liquidation of the Company, the holders of equity shares shall be entitled to receive any of the remaining assets of the Company, after distribution of all preferential amounts. The amount distributed will be in proportion to the number of equity shares held by the shareholders.
- The Company have been formed pursuant to the conversion of the erstwhile partnership firm into the company, pursuant to which 20,00,000 Lakh equity shares were issued to the existing partners of the Partnership firm on 25th April, 2023 (date of incorporation).

2. Reconciliation of the number of shares outstanding at:-

Particulars	As at 31 March, 2024	
	Number of shares	Rs.
Balance as at the beginning of the period		
Add : Issue of shares	20,00,000	2,00,00,000
Add : Others - Conversion of unsecured loan into equity share capital	20,20,000	2,02,00,000
Add : Issue of bonus shares	40,20,000	4,02,00,000
Balance as at the end of the period	80,40,000	8,04,00,000

3. Details of equity shares held by shareholders holding more than 5% of the aggregate shares in the Company

As at March 31, 2024

Name of Shareholders	No. of Shares	Total Value
Rajan Mittal	33,62,000	3,36,20,000
Parmod Gupta	36,92,000	3,69,20,000
Rajan Mittal and Sons HUF	8,64,000	86,40,000
TOTAL	79,18,000	7,91,80,000

4. Shares held by promoters at the end of 31st March, 2024 is given below

Promoter Name	No. of Shares (Face Value Rs. 10/- each)	% of total shares
Rajan Mittal	33,62,000	41.82%
Parmod Gupta	36,92,000	45.92%
Total	70,54,000	

5. The above statement should be read with the significant accounting policies and notes to standalone statements of assets and liabilities, Statement of profits and losses and Statement of cash flows appearing in Annexures I, II, III & IV.



NOTE 4

RESERVES & SURPLUS

(Amount in Lakhs)

Particulars	As at 31 March, 2024
(A) Securities premium account	
Opening balance	-
Add : Additions during the period	608.00
Less : Utilisation during the period	-
Closing balance	608.00
(B) Surplus / (Deficit) in Statement of Profit and Loss	
Opening balance	-
Profit for the period	646.40
Closing balance	646.40
Total	1,254.40



LONG-TERM BORROWINGS

(Amount in Lakhs)

Particulars	As at 31 March, 2024
(A) Secured	
(A) Term loans:	
(a) from banks.	1,625.14
Less: Current Maturities	(189.28)
Sub-total	1,435.86
(B) Unsecured	
(A) Term loans	
(a) From Directors	-
(b) from related parties	-
(c) from Others	-
Sub-total	-
Total	1,435.86

1. The Credit Facilities from HDFC bank are secured by way of charge on Book Debts, Stocks, FDRs, Plant and Machinery and Land & Building situated at Village Mangarh, Kohara Machhiwara Road, Ludhiana Punjab. The facilities are also collaterally secured by way of Equitable Mortgage of House No. 461, Near G S Motors Workshop, Jagjit Nagar, Threekay Road, Ludhiana in the name of Smt. Rekha Mittal and further collaterally secured by way of Personal Guarantees of Smt. Rekha Mittal and the Directors of the Company viz. Sh. Rajan Mittal and Sh. Parmod Gupta and M/s Auto International.

2. The Credit Facilities from SIDBI in the form of Medium Term Loan has been secured by way of Charge on Hypothecation of Plant & Machinery, Equipments, etc. Further the SIDBI FDR in the name of M/s Forge Auto International Pvt. Limited. has been charged as Collateral Security.

3. Vehicle loans are secured by way of Hypothecation of respective assets.



Note 6

Deferred Tax Liabilty

(Amount in Lakhs)

Particulars	As at 31 March, 2024
Deferred Tax Liabilty	19.60
Total	19.60



Note 7

STATEMENT OF OTHER LONG-TERM LIABILITIES

(Amount in Lakhs)

Particulars	As at 31 March, 2024
	Long-term
Lease Liability	363.40
Total	363.40

The Plant & Machinery was taken on Financial Lease from Siemens Financial Services Pvt. Ltd. which has been secured by way of Charge on Hypothecation of Plant & Machinery, Equipments, etc itself.



Rajinder Singh

LONG-TERM PROVISIONS AND SHORT-TERM PROVISIONS

(Amount in Lakhs)

Particulars	As at 31 March, 2024	
	Long-term	Short-term
(A) Provision for employee benefits	-	-
(B) Provision for Taxation	-	229.54
(C) Gratuity Provision	76.86	6.42
Total	76.86	235.96


Sam Singh

NOTE 9

SHORT-TERM BORROWINGS

(Amount in Lakhs)

Particulars	As at 31 March, 2024
(A) Secured	
(A) Loans repayable on demand	-
(a) Loan from Banks	1,896.19
Add: Current Maturities	189.28
Sub Total	2,085.47
(B) Unsecured	
(A) Term loans	
(a) From Directors	12.96
(b) from related parties	8.03
(c) from Others	60.00
Sub Total	80.99
Total	2,166.46

1. The amount taken as Unsecured Loan from the Directors & Related Parties of the Company is usually payable on demand. Interest has been paid @ 9% per annum for the period ended on 31st March 2024.

2. The amount taken as Unsecured Loan from V.R. Finvest Pvt. Ltd. is repayable on demand. Interest has been paid @ 13.20% per annum during the Period ended on 31st March, 2024



NOTE 10

TRADE PAYABLES

(Amount in Lakhs)	
Particulars	As at 31 March, 2024
(A) Total outstanding dues of micro enterprises and small enterprises	368.98
(B) Total outstanding dues of creditors other than micro enterprises and small enterprises	2,509.66
Total	2,878.64

1. Amount due to entities covered under Micro, Small and Medium Enterprises as defined in the Micro, Small, Medium Enterprises Development Act, 2006, have been identified on the basis of information available with the Company. Management is in process of complying information from their suppliers regarding their status under the MSME act.
2. Ageing of the Supplier, alongwith any amount involved in disputes as required by Schedule III of Companies Act, 2013 is disclosed below after it becomes due for payment. In case of no credit terms defined the break-up of agewise supplier balance is given below after consiering from the date of transactions.

Ageing for trade payables from the due date of payment for each of the category as at 31st March,2024

Particulars	As at 31 March, 2024					
	Less than 6 months	>6 to <12 Months	>12 to <18 Months	>18 to <24 Months	>24 to <36 Months	More than 36 months
(i) Undisputed dues - MSME	368.98	-	-	-	-	-
(ii) Undisputed dues - Others	2,509.36	0.30	-	-	-	-
(iii) Disputed dues - MSME	-	-	-	-	-	-
(iv) Disputed dues - Others	-	-	-	-	-	-
Total	2,878.34	0.30	-	-	-	-



NOTE 11

OTHER CURRENT LIABILITIES

(Amount in Lakhs)

Particulars	As at 31 March, 2024
Bonus Payable	21.76
Interest Payable	7.46
Provision for Expense	51.94
Salary/wages payable	57.79
Advance from Customers	5.18
Other Liability	9.93
Statutory Payables	43.55
Lease Liability	57.64
Director Remuneration Payable	3.75
Total	259.00



Property, Plant & Equipment and Intangible Assets
Forge Auto International Limited

FY 2023-24

Name of Assets	Gross Block				Depreciation and Amortization				Net Block	
	As on	Addition	Deduction	As on	As on	for the	Deduction	As on	As on	As on
	25-04-2023	During the year	During the year	31-03-2024	25-04-2023	year	during the year	31-03-2024	31-03-2024	24-04-2023
Property, Plant and Equipment										
Building	243.92	-	-	243.92	-	8.12	-	8.12	235.79	243.92
Computers	15.22	11.14	-	26.36	-	7.14	-	7.14	19.22	15.22
Electric Fittings	56.18	15.15	-	71.33	-	8.22	-	8.22	63.11	56.18
Furnitures & Fittings	12.56	8.29	-	20.85	-	1.95	-	1.95	18.90	12.56
Land	88.25	-	19.19	69.06	-	-	-	-	69.06	88.25
Office Equipments	18.02	6.39	-	24.41	-	8.84	-	8.84	15.56	18.02
Plant & Machinery	1,118.21	196.91	-	1,315.11	-	82.63	-	82.63	1,232.49	1,118.21
Plant & Machinery (Siemens)	-	476.13	-	476.13	-	15.69	-	15.69	460.45	-
Vehicle	320.84	96.36	45.04	372.15	-	58.09	7.13	50.96	321.19	320.84
Total Tangible Assets	1,873.18	810.36	64.23	2,619.31	-	190.68	7.13	183.55	2,435.76	1,873.18
Softwares- Intangible	6.20	8.32	-	14.52	-	3.87	-	3.87	10.65	6.20
Total Intangible Assets	6.20	8.32	-	14.52	-	3.87	-	3.87	10.65	6.20
Total Assets	1,879.38	818.68	64.23	2,633.84	-	194.55	7.13	187.42	2,446.41	1,879.38
Previous Year										



Signature

NON- CURRENT INVESTMENTS

(Amount in Lakhs)

Particulars	As at 31 March, 2024
Investments in	
Mutual Funds	33.50
FDR with SIDBI	150.00
Total	183.50



Signature

LONG TERM LOANS AND ADVANCES**(Amount in Lakhs)**

Particulars	As at 31 March, 2024
Unsecured advances : Considered Good	
Other Loans and Advances	356.11
Advance to Capex Suppliers	165.10
Total	521.21



OTHER NON CURRENT ASSETS

(Amount in Lakhs)

Particulars	As at 31 March, 2024
Security Deposits	82.67
Total	82.67



INVENTORIES**(Amount in Lakhs)**

Particulars	As at 31 March, 2024
Raw Materials	362.36
Work In Process	697.68
Finished goods	1,914.16
Stores and Spares	579.82
Total	3,554.02

Inventory has been physically verified/certified by the management of the Company at the end of the period



TRADE RECEIVABLES

(Amount in Lakhs)

Particulars	As at 31 March, 2024
Trade Receivables	
Secured - Considered Good	
a) Less than six months	-
b) More than six months	-
Unsecured - Considered Good	
b) Less than six months	2,311.49
a) More than six months	0.16
Unsecured - Considered Doubtful	
b) Less than six months	-
a) More than six months	68.93
Less : Provision for Bad and Doubtful Debts	-
Total	2,380.58

1. As on 31st March, 2024, Company is having disputed trade receivable having aggregate outstanding balance of Rs 68.93 Lakhs.

2. Ageing of the Trade receivable, along with any amount involved in disputes, if any as required by Schedule III of Companies Act, 2013 is disclosed as below. Ageing of debtors is based on the date of transaction in case there is no credit period agreed at the time of Supply.

Trade Receivable Ageing Schedule

Particulars	Outstanding for following periods from due date of payment						Total (Rs.)
	Not Due	< 6 Mths	6 Mts - 1 Yr	1 - 2 Yrs	2 - 3 Yrs	> 3 Yrs	
(a)Undisputed							
Considered Good	-	2,311.49	-	0.16	-	-	2,311.65
Considered Doubtful	-	-	-	-	-	-	-
(b)Disputed							
Considered Good	-	-	-	-	-	-	-
Considered Doubtful	-	-	-	-	-	68.93	68.93
TOTAL	-	2,311.49	-	0.16	-	68.93	2,380.58



CASH AND CASH EQUIVALENTS

(Amount in Lakhs)

Particulars	As at 31 March, 2024
Current Accounts	33.44
Fixed Deposits	17.52
Cash In Hand	1.43
Total	52.39


Sim Singh

SHORT TERM LOAN AND ADVANCES**(Amount in Lakhs)**

Particulars	As at 31 March, 2024
Loans & Advances	14.99
Advance tax	151.78
Prepaid assets	44.76
Balance with Revenue authorities	20.22
Employee Advances	0.14
Total	231.89



Signature

OTHER CURRENT ASSETS

(Amount in Lakhs)

Particulars	As at 31 March, 2024
Advance to Suppliers	2.89
Interest Receivable	4.94
Others	6.20
Total	14.02


Saminder Singh

STATEMENT OF REVENUE FROM OPERATIONS

(Amount in Lakhs)

Particulars	For the year ended 31 March, 2024
Sales of Goods	15,940.25
Export Sales	1,001.63
	16,941.88

Note 22

STATEMENT OF OTHER INCOME

(Amount in Lakhs)

Particulars	For the year ended 31 March, 2024
Draw Back Received	13.74
Export Incentive (Meis/Rodtep)	9.25
Foreign Exchange Fluctuation	17.35
Incentive Received-(Invest Punjab)	34.52
Interest Income	8.19
Miscellaneous Income	5.18
Profit On Sale Of Fixed Assets	53.41
Rental Income	0.56
	142.20

Note 23

STATEMENT OF COST OF MATERIALS CONSUMED

(Amount in Lakhs)

Particulars	For the year ended 31 March, 2024
Opening Stock of Raw Material	507.98
Add : Purchases	10,543.09
Goods Purchases-Raw Materials	10,543.09
Less : Closing Stock of Raw Material	362.36
	10,688.71

Note 24

STATEMENT OF CHANGES IN INVENTORY OF FINISHED GOODS

(Amount in Lakhs)

Particulars	For the year ended 31 March, 2024
Opening Stock of Finished Goods	1,091.97
	1,091.97
Less : Closing Stock of Finished Goods	1,914.16
	1,914.16
	(822.20)

Note 25

STATEMENT OF CHANGES IN WORK-IN-PROGRESS

(Amount in Lakhs)

Particulars	For the year ended 31 March, 2024
Opening Stock of WIP	422.73
	422.73
Less : Closing Stock of WIP	697.68
	697.68
	(274.94)

NOTE 26

STATEMENT OF EMPLOYEE BENEFIT EXPENSES

(Amount in Lakhs)

Particulars	For the year ended 31 March, 2024
Salary And Wages	868.95
Contribution To Provident Fund And Esic	31.86
Director Remuneration	112.00
Gratuity Expenses	88.97
Labour Welfare Fund	0.63
Staff Welfare Expenses	22.29
	1,124.69



Note 27

STATEMENT OF DEPRICIATION AND AMORTIZATION EXPENSES

(Amount in Lakhs)

Particulars	For the year ended 31 March, 2024
Depreciation And Amortization Expenses	194.55
	194.55

Note 28

STATEMENT OF FINANCE COSTS

(Amount in Lakhs)

Particulars	For the year ended 31 March, 2024
Interest On Loan	226.07
Interest on Finance Lease (Siemens)	31.77
Bank Charges	47.74
Interest Others	84.83
Total	390.41

Note 29

STATEMENT OF OTHER EXPENSES

(Amount in Lakhs)

Particulars	For the year ended 31 March, 2024
Advertisment & Publicity Expesnes	10.31
Annual Manintenance Charges	17.33
Audit Fees	1.50
Cash Discount	71.13
Commission	13.63
Consumables Stores	1,197.08
Donation	3.77
Fee, Rates & Taxes	9.42
Freight & Forwarding Charges	211.44
Freight Inward	37.13
House Keeping Charges	11.90
Insurance Expenses	14.19
Internet Expenses	1.03
Lab Expenses	9.20
Labour Expenses	1,357.43
Legal & Professional Expenses	71.72
Loading & Unloading Expenses	13.19
Loss on Sale of Fixed Assets	3.91
Miscellaneous Expenses	8.06
Postage & Couriers	3.81
Power & Fuel Expenses	1,413.48
Printing & Stationery	7.20
Rebate & Discount	18.80
Relocation Expenses	1.13
Rent	6.88
Repair & Maintainance Machinery	190.82
Repair & Maintainance-Building	14.86
Repair & Maintainance-Computers	4.54
Repair & Maintainance-Electric	15.32
Repair & Maintainance-Others	4.17
Repair & Maintainance-Vehicle	72.69
Sales Promotion	2.43
Security Service Charges	13.03
Telephone Expenses	1.65
Travelling Expenses	53.15
	4,887.33



CONTINGENT LIABILITIES AND COMMITMENTS

(Amount in Lakhs)

Particulars	As At 31st March 2024
(a) Contingent Liabilities	
a. Claims against the company not acknowledged as debts	-
b. Guarantees	-
Guarantees given on Behalf of the Company	53.10
Guarantees given by the Company	2,900.00
c. Other Money for which the company is contingently liable (Legal Claims against Debtors Outstanding and not provided for)	-
(b) Commitments	-
	2,953.10



FINANCIAL RATIOS

	Name of Ratio	Numerator/Denominator	As At 31st March 2024
1	Current Ratio (in times)	Total Current Assets Total Current Liabilities	1.13
2	Debt Equity Ratio (in times)	Short Term Borrowings + Long Term borrowings Total Equity	1.75
3	Debt Service Coverage Ratio (In times)	Earning for Debt Service (PAT + Depreciation + Interest +Other Non Cash Expenses) Total Debt Service (Interest + Finance Lease Payments + Principal Repayment)	1.95
4	Return on Equity Ratio (%)	Profit after Tax Avg Shareholder's Equity	40.14%
5	Inventory Turnover Ratio (in times)	Net Sales Average Inventory	5.77
6	Trade Receivables Turnover Ratio (In times)	Net Sales Average Trade Receivables	6.10
7	Trade Payables Turnover Ratio (In times)	Net Purchase Average Trade Payables	3.62
8	Net Capital Turnover Ratio (In times)	Net Sales Average Working Capital	39.56
9	Net Profit Ratio (%)	Profit for the Year Total Revenue	3.78%
10	Return on Capital Employed (%)	PBT + Finance Cost (EBIT) Capital Employed	22.72%
11	Return on Investment	Net Profit after tax Total Assets	6.81%



Sumit Singh

STATEMENT OF RELATED PARTY TRANSACTION

(Amount in Lakhs)

List of Related Parties as per AS - 18

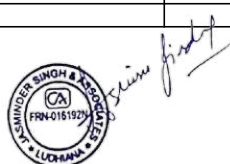
	Names of related parties	Nature of Relationship
Directors and Key Management Personnel (KMP)	Rajan Mittal	Managing Director
	Parmod Gupta	Chairman & Whole Time Director
	Gautam Kanchan	Chief Financial Officer
	Medhavi Sharma	Company Secretary
Relatives of Directors	Rajan Mittal and Sons (HUF)	HUF of Director
	Parmod Gupta and Sons (HUF)	HUF of Director
	Siddharth Mittal	Son of Director
	Harshal Mittal	Son of Director
	Rohit Gupta	Son of Director
	Rekha Mittal	Wife of Director
	Shikha Gupta	Daughter In-Law of Director
	Nidhi Gupta	Daughter In-Law of Director
Related Company/Firm	Ambika Gupta	Daughter In-Law of Director
	Kamika International	Partnership firm of Promotor's Son
	Forge Mach Pvt Ltd.	Subsidiary company

(i) Transactions with Director in KMP

1	Rajan Mittal	31-Mar-24
	Loan Transactions	
	Opening balance of Loan taken by the Company	450.99
	Loan Taken by the Company	13.60
	Loan Repaid by the Company	(79.04)
	Interest on Loan paid	26.35
	Loan Converted into equity	(410.40)
	Closing Balance (cr)	1.49
	Managerial Remuneration paid	56.00
2	Parmod Gupta	31-Mar-24
	Loan Transactions	
	Opening balance of Loan taken by the Company	510.99
	Loan Taken by the Company	28.91
	Loan Repaid by the Company	(48.75)
	Interest on Loan paid	30.93
	Loan Converted into equity	(510.60)
	Closing Balance (cr)	11.47
	Managerial Remuneration paid	56.00
3	Gautam Kanchan	
	Salary Paid during the year	5.70
4	Medhavi Sharma	
	Salary Paid during the year	0.15

(ii) Transaction with Relatives of KMP and Enterprises in which KMP/Relatives of KMP can exercise significant influence

1	Rajan Mittal and Sons (HUF)	31-Mar-24
	Loan Transactions	
	Opening balance of Loan taken by the Company	247.34
	Loan Taken by the Company	-
	Loan Repaid by the Company	(3.95)
	Interest on Loan paid	15.21
	Loan Converted into equity	(258.60)
	Closing Balance	-
2	Parmod Gupta and Sons (HUF)	31-Mar-24
	Loan Transactions	
	Opening balance of Loan taken by the Company	33.44
	Loan Taken by the Company	6.00
	Loan Repaid by the Company	(41.23)
	Interest on Loan paid	1.79
	Loan Converted into equity	-
	Closing Balance	(0.00)
3	Siddharth Mittal	31-Mar-24
	Loan Transactions	
	Opening balance of Loan taken by the Company	1.51
	Loan Taken by the Company	-
	Loan Repaid by the Company	(0.01)
	Interest on Loan paid	0.13
	Closing Balance (cr)	1.63
	Salary paid during the years	11.20
	Commission paid	5.75



4	Harshal Mittal	31-Mar-24
	Opening balance of Loan taken by the Company	5.94
	Loan Taken by the Company	-
	Loan Repaid by the Company	(0.05)
	Interest on Loan paid	0.51
	Closing Balance (cr)	6.40
5	Rohit Gupta	
	Salary Paid during the year	11.20
	Commission paid	5.84
6	Rekha Mittal	
	Salary Paid during the year	11.20
7	Shikha Gupta	
	Salary Paid during the year	5.60
8	Nidhi Gupta	
	Salary Paid during the year	5.60
9	Ambika Gupta	
	Salary Paid during the year	5.60

(iii) Transaction with Related firm

1	Kamika International	31-Mar-24
	Opening balance	6.16
	Revenue from Operation (Sale of goods)	158.09
	Labour Expenses (Job work done by Kamika International)	(6.16)
	Receipt - for sale of goods	(161.33)
	Payment for Job work	1.42
	Closing Balance (Payable)	(1.82)
2	Forge Mach Pvt Ltd.	31-Mar-24
	Opening balance	0
	Loan given to FMAPL	936.65
	Loan repaid by FMAPL	(583.00)
	Other Income - Rent Income from FMAPL	2.46
	Closing Balance (Receivable)	356.11



Sankar Singh

33 C.I.F. VALUE OF IMPORTS :-

Particulars	As At 31st March 2024
Raw Materials	-
TOTAL	-

34 EXPENDITURE IN FOREIGN CURRENCY :-

Particulars	As At 31st March 2024
Foreign Travel	11.63
TOTAL	11.63

35 EARNINGS IN FOREIGN CURRENCY :-

Particulars	As At 31st March 2024
Export of Goods on FOB basis	944.77

36 PARTICULARS OF UNHEDGED FOREIGN CURRENCY EXPOSURE :-

Particulars	As At 31st March 2024
Buyers Credit from Banks	-
Sundry Creditors	-
Sundry Debtors	330.85
Advance Received for Sale of Goods	5.16
Advances for Purchases and Services	-
TOTAL	336.02

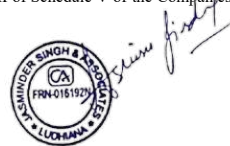
37 DERIVATIVE INSTRUMENTS :-

Particulars	As At 31st March 2024
Outstanding Forward Contract (Hedge against Imports and Buyers Credit)	-
TOTAL	-

38 DIRECTORS' REMUNERATION :-

Particulars	As At 31st March 2024
Remuneration Paid To	
Managing Director	56.00
Chairman and Whole time Director	56.00
TOTAL	112.00

Directors' remuneration is within the limits prescribed by Section II of Part II of Schedule V of the Companies Act, 2013 and duly approved by Shareholders for a 3-yr period.



Particulars	As At 31st March 2024
Change in Present Value of Defined Benefit Obligation	
Present Value of Obligations as at the beginning of the Year/Period	0.00
Interest Cost	4.40
Current Cost	23.58
Benefits Paid	-5.68
Actuarial (gains) / losses on obligation	0.26
Present Value of Obligations as at the end of the Year/Period	22.56
Change in Fair Value of Plan Assets	0.00
Fair Value of Plan Assets as at the beginning of the Year/Period	0.00
Prior Year's Adjustment	0.00
Expected Return on Plan Assets	0.00
Contributions	
Benefits Paid	-5.68
Actuarial (gains) / losses on Plan Assets	0.26
Fair Value of Plan Assets as at the end of the Year/Period	-5.42
Defined Benefit Obligation as recognized in Balance Sheet	
Present Value of Obligations as at the Year/Period end	83.29
Unrecognised Past Service Cost	0.00
Fair Value of Plan Assets as at the Year/Period end	0.00
Net (Asset) / Liability recognized in Balance Sheet	83.29
Net Gratuity Benefit Expenditure Recognised in P&L Account	28.24
Current Service Cost	23.58
Interest Cost	4.40
Expected Return on Plan Assets	0.00
Net Actuarial (Gain) / Loss Recognised in the Year/Period	0.26
Net Expense Recognised in Statement of Profit and Loss	28.24
Principal Assumptions Used	
Discount Rate	7.25%
Expected Return on Plan Assets	0.00%
Salary Escalation Rate	5.00%
Major Categories of Plan Assets	NA
Insurer Managed Funds	NA



40 AUDITORS' REMUNERATION :-

Particulars	As At 31st March 2024
As auditors	1.50
For other services	-
TOTAL	1.50

41 BORROWING COSTS :

No borrowing costs were eligible for capitalization during the year.

42 SEGMENT REPORTING :

With respect to Accounting Standard-17, the Management of the Company is of the view that the products offered by the Company are in the nature of forgings, and its related products, having the same risks and returns, same type and class of customers and regulatory environment. Hence, the business of production of forgings and its related products belong to one business segment only.

43 DISCLOSURE ON LEASES :-

The Company has taken CNC, VMC and Drilling machines under Financing lease

Particulars	As At 31st March 2024
Interest paid on Finance Lease recognized in the Statement of Profit and Loss	31.77
Depreciation charged on Leasehold Asset recognized in the Statement of Profit and Loss	15.69

44 EARNINGS PER SHARE :-

In line with Accounting Standard 20 the Earnings Per Share details are given below

Particulars		As At 31st March 2024
Profit After Taxation		646.40
Weighted Average Number of Equity Shares	Nos.	25.91
Nominal Value of Shares	₹	10.00
Earnings Per Share	₹	24.95

45 IMPAIRMENT OF ASSETS:-

In absence of any indications, external or internal, as to any probable impairment of assets, no provision has been made for the same during the year under report, in accordance with the requirement of Accounting Standard - 28 on "Impairment of Assets"

46 CRYPTO CURRENCY / VIRTUAL CURRENCY :-

The Company has not traded or invested in Crypto Currency or Virtual Currency during the Financial Year.

47 NO UNDISCLOSED INCOME :-

There are no transactions which are not recorded in books and have been surrendered or disclosed as income during the year in Income Tax Assessments.

All figures are rounded off to lacs unless otherwise stated.

For Jasvinder Singh & Associates
Chartered Accountants
FRN: 016192



CA. Ashish Jindal
Partner
Mem No: 559899

Place: Ludhiana
Date: 02.09.2024
UDIN: 24559899BKA EUG2522

For and on behalf of Board of Directors
For Forge Auto International Limited

Rajan Mittal
(Managing Director)

Parmod Gupta
(Chairman and Whole time Director)

Gautam Kanchan
(CFO)

Medhavi Sharma
(Company Secretary)